NO. _____

NORTH CAROLINA COURT OF APPEALS

From NC Utilities Commission
Docket No. E-2, Sub 1089

STATE OF NORTH CAROLINA EX REL. UTILITIES COMMISSION; PUBLIC STAFF – NORTH CAROLINA UTILITIES COMMISSION; and DUKE ENERGY PROGRESS, LLC,

Respondents,

v.

NC WARN and THE CLIMATE TIMES,

Petitioners.

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PETITION FOR WRIT OF CERTIORARI

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TO THE HONORABLE COURT OF APPEALS OF NORTH CAROLINA:

NOW COME the Petitioners, NC WARN and The Climate Times, by and through undersigned counsel, and respectfully petition this Honorable Court, pursuant to Rule 21 of the North Carolina Rules of Appellate Procedure, to issue its writ of certiorari to review (1) the Order Granting Application in Part, with Conditions, and Denying Application in Part ("CPCN Order") entered by the N.C. Utilities Commission ("Commission") on 28 March 2016, (2) the Order Setting Undertaking or Bond Pursuant to G.S. 62-82(b) entered by the Commission on 8 July 2016 ("Second Bond Order"), and (3) the Order Dismissing Appeal for Failure to Comply with Bond Prerequisite on 2 August 2016 ("Dismissal Order"). In support of this petition, the Petitioners attach certified copies of all relevant pleadings and a verification of the facts as follows:

STATEMENT OF THE FACTS

This controversy surrounds whether the participants to Utilities Commission proceedings have a right to meaningfully participate in litigation and to file appeals, as well as whether a shortened review process and appellate bond requirements can be used to prevent any challenge to a utilities application.

On 16 December 2015, Duke Energy Progress, LLC ("DEP") filed a Notice of Intent to File Application for Certificate of Public Convenience and Necessity for Western Carolinas Modernization Project. (Ex. A, p 1). In its notice, DEP sought permission to construct two (2) new natural gas-fired 280 MW combined cycle units with fuel oil backup, and one (1) natural gas-fired 192 MW simple cycle combustion turbine unit with fuel oil backup. The actual Application for Certificate of Public Convenience and Necessity was filed on 15 January 2016.

DEP's Application was not filed pursuant to the generally applicable procedure governing applications for public convenience and necessity. Instead, DEP's Application relied upon the Mountain Energy Act of 2015, N.C. Sess. Law 2015-110. The Act allows for an "expedited decision on an application for a certificate to construct a generating facility that uses natural gas as the primary fuel." Id. § 1. The Act states that DEP must provide thirty (30) days' notice of its intent to file an application; that the Commission may hold only one (1) public hearing on the application; and that the Commission must render its decision on the application within forty-five (45) days of the application. Id.

On 18 December 2015, the Commission entered an Order Scheduling Public Hearing and Requesting Investigation and Report by the Public Staff. (Ex B, p 1). NC WARN and The Climate Times filed a joint Motion to Intervene on 21 December 2015, and the Commission granted the Motion to Intervene on 20 January 2016. Also on 21 December 2015, NC WARN and The Climate Times filed a Motion for Evidentiary Hearing. (Ex C, p 3). The Motion for Evidentiary Hearing proposed several methods of conducting the litigation to allow for meaningful discovery and fact-finding in light of the expedited process required by the Mountain Energy Act. Id. at 3-6. However, in an Order of 15 January 2016, the Commission denied the Motion for Evidentiary Hearing. (Ex D, p 5).

On 12 February 2016, NC WARN and The Climate Times filed their Position and Comments, which included several affidavits. (Ex E). NC WARN and The Climate Times opposed DEP's Application for a number of reasons. There was insufficient evidence to prove that DEP needs the extensive additional capacity requested by the Application. Id. at 1. Also, DEP's reliance upon natural gas is problematic because of the volatility of the natural gas market, the risks of shale gas supply shortages, and because of natural gas's harmful impacts

upon the environment. Id. at 2. Further, the Mountain Energy Act's expedited process did not allow for adequate opportunity to review the Application. Id. at 1.

The Commission, on 28 March 2016, entered an Order Granting Application in Part, with Conditions, and Denying Application in Part ("CPCN Order"). (Ex F, p 1). The Commission's CPCN Order granted DEP's Application for the two (2) 280 MW units but denied the request for the additional 192 MW unit. Id. at 43-44.

During their investigation of a potential appeal of the CPCN Order, NC WARN and The Climate Times discovered that there is a unique bond requirement for appeals from certificates of public convenience and necessity. That bond requirement is found in N.C. Gen. Stat. § 62-82(b), and requires appealing parties to post a bond sufficient to pay for damages incurred by a utility in the event that an unsuccessful appeal causes a delay in the initiation of construction.

Thus, on 25 April 2016, the Petitioners filed a Motion to Set Bond. (Ex. G, p 1). To allow time for the Commission's ruling on the Motion to Set Bond, the Petitioners simultaneously filed a Motion for Extension of Time to File Notice of Appeal and Exceptions. In an Order of 26 April 2016, the Commission extended the deadline for filing notices of appeal to 27 May 2016.

In the Motion to Set Bond, the Petitioners stated that they are not requesting an injunction or stay of the Commission's CPCN Order granting DEP's Application. (Ex G, ¶ 5). Among other things, the Motion to Set Bond argued that appellate bonds should not be set in an amount so high that appeals become impossible. Id. ¶ 6.

DEP filed a Response to the Motion to Set Bond on 2 May 2016. (Ex H, p 1). In its Response, DEP refused to state that an appeal would result in delays in the initiation of construction. Id. ¶ 10. Instead, DEP provided general guesses, without any supporting documents

or facts, at what a hypothetical delay might cost DEP. Id. ¶ 14. Despite a lack of evidence, DEP recommended an impossible $50 million bond.

Among other things, the Petitioners' Reply of 5 May 2016 called the Commission's attention to the fact that DEP failed to substantiate any of its alleged damage estimates. (Ex I, ¶ ¶ 5-6). Also, the Reply reiterated that the Petitioners are not seeking an injunction or stay of the Commission's CPCN Order granting DEP's Application. Id. ¶ 3.

On 10 May 2016, the Commission entered an Order Setting Undertaking or Bond Pursuant to G.S. 62-82(b) ("First Bond Order"). (Ex J, p 1). In its First Bond Order, the Commission acknowledged that it was "not aware of any case in which the Commission has determined the amount of a bond or undertaking pursuant to G.S. 62-82(b)." Id. at 4 n.1. Nonetheless, the Commission required a bond or undertaking of $10,000,000.00. Id. at 7. The Commission also stated that, by September 1, 2016, DEP must state whether an appeal will cause delays in the beginning of construction. Id. However, it goes without saying that the Petitioners could not afford a $10,000,000.00 bond, and could not honestly sign an undertaking representing the ability to pay $10,000,000.00 in damages. Thus, the Commission's First Bond Order was tantamount to dismissing any appeal of the CPCN Order.

On 23 May 2016, NC WARN and The Climate Times filed with this Court a Petition for Writ of Certiorari requesting that the First Bond Order be reviewed and reversed. (Ex K, pp 1-2). In an effort to ensure that all appellate deadlines were met, Petitioners, on 27 May 2016, filed a Notice of Appeal and Exceptions as to both the CPCN Order and First Bond Order without any bond or undertaking. (Ex L, p 2).

Before this Court ruled upon the prior Petition for Writ of Certiorari, DEP filed a Motion to Dismiss Notice of Appeal and Exceptions on 31 May 2016. (Ex M). The basis of the Motion

to Dismiss was that Petitioners did not post the bond or undertaking required by the erroneous First Bond Order. Id. ¶ 5. Petitioners filed a Response to Motion to Dismiss on 3 June 2016, arguing that the bond amount was erroneous and that the appeal should not be dismissed while this Court was reviewing the prior Petition for Writ of Certiorari. (Ex N, ¶ 10).

This Court ruled upon the prior Petition for Writ of Certiorari before the Commission entered an order on DEP's Motion to Dismiss. In an Order of 7 June 2016, this Court allowed the prior Petition for Writ of Certiorari for the purpose of vacating and remanding the First Bond Order and requiring the Commission to set a bond based upon competent evidence. (Ex O, p 1).

In response to this Court's Order, on 8 June 2016 the Commission entered an Order Setting Hearing. (Ex P). The hearing was noticed for 17 June 2016. Id. at 2.

On 14 June 2016, NC WARN and The Climate Times filed a Response to Order Setting Hearing, in which they objected to the Commission's accepting evidence not previously submitted during its deliberation over the First Bond Order. (Ex Q, ¶ 1).

The hearing on the bond issue was held on 17 June 2016. NC WARN and The Climate Times filed the Affidavit of William Powers on the bond issue on 27 June 2016. (Ex S).

On 8 July 2016, the Commission entered an Order Setting Undertaking or Bond Pursuant to G.S. 62-82(b) ("Second Bond Order"). (Ex T). The Second Bond Order required that NC WARN and The Climate Times post a bond of $98 million within five (5) days. Id. at 28. Obviously the Petitioners could not afford a $98,000,000.00 bond or undertaking, so no bond or undertaking was filed within the 5-day deadline.

Following expiration of the 5-day deadline, DEP filed a Renewed Motion to Dismiss on 20 July 2016, again based on the purported bond requirement. (Ex U). Petitioners filed a Reply to the Renewed Motion to Dismiss on 26 July 2016. (Ex V).

In their Reply, Petitioners argued that the Second Bond Order was unconstitutional and unsupported by substantial evidence, and therefore should not be the basis for dismissal of any appeal. Id. §§ 17, 21-22. The Reply also indicated that Petitioners planned to challenge the Second Bond Order in this Court and therefore recommended that the Commission reserve judgment on the Renewed Motion to Dismiss until the appeal of the Second Bond Order concluded. Id. § 23.

Petitioners filed a Notice of Appeal as to the Second Bond Order on 29 July 2016. (Ex W). Shortly thereafter, on 2 August 2016, the Commission entered an Order Dismissing Appeal ("Dismissal Order") as to the initial Notice of Appeal that was filed on 27 May 2016. (Ex X).

Immediately after the Dismissal Order, there was a dismissed Notice of Appeal (as to the CPCN Order, filed on 27 May 2016, found at Exhibit L) and an active Notice of Appeal (as to the Second Bond Order, filed on 28 July 2016, found at Exhibit V). NC WARN and The Climate Times want to ensure appellate review of the CPCN Order and the Second Bond Order, but as a legal matter, it is unclear whether the correct approach is to file another notice of appeal as to the Dismissal Order, or to file a petition with this Court for writ of certiorari. In an abundance of caution, Petitioners have taken both routes—the present Petition challenges the CPCN Order, the Second Bond Order, and the Dismissal Order; and simultaneously, on 17 August 2016, the Petitioners filed a Notice of Appeal as to the CPCN Order, the Second Bond Order, and the Dismissal Order. (Ex Y).

REASONS WHY WRIT OF CERTIORARI SHOULD BE ISSUED

Appellate review of Commission decisions is governed by N.C. Gen. Stat. § 62-94, which provides that this Court may affirm or reverse the decision of the Commission, declare the same null and void, or remand the case for further proceedings; or it may reverse or modify the

decision if the substantial rights of the appellants have been prejudiced because the Commission's findings, inferences, conclusions or decisions are:

> (1) In violation of constitutional provisions, or
> (2) In excess of statutory authority or jurisdiction of the Commission, or
> (3) Made upon unlawful proceedings, or
> (4) Affected by other errors of law, or
> (5) Unsupported by competent, material and substantial evidence in view of the entire record as submitted, or
> (6) Arbitrary or capricious.

Id. § 62-94(b).

I. The CPCN Order should be reviewed and reversed.

Before constructing these new natural gas-fired units, DEP must obtain a certificate of public convenience and necessity. According to the General Statutes, "no public utility or other person shall begin the construction of any . . . facility for the generation of electricity to be directly or indirectly used for the furnishing of public utility service . . . without first obtaining from the Commission a certificate that public convenience and necessity requires, or will require, such construction." N.C. Gen. Stat. § 62-110.1(a).

The CPCN Order should be reviewed and reversed for at least four (4) reasons: (a) there is no evidence in the record that DEP needs 560 MW of new natural gas-fired units in the Asheville area; (b) the Commission failed to make adequate findings of fact concerning how natural gas supply is highly uncertain, and therefore construction of the new units is putting DEP's customers at a higher risk of outages and price spikes; (c) the Commission failed to consider arguments concerning how methane emissions from natural gas poses an extreme risk to the environment; and (d) the Mountain Energy Act of 2015, N.C. Sess. Law 2015-110 is unconstitutional.

A. There is no evidence in the record that DEP needs 560 MW of new natural gas-fired units in the Asheville area.

"Before awarding a certificate, the Commission must comply with section 62-110.1 which requires a showing of public convenience and necessity by the applicant." State ex rel. Utils. Comm'n v. Empire Power Co., 112 N.C. App. 265, 278, 435 S.E.2d 553, 560 (1993) (emphasis in original). In assessing this need, the Commission shall consider the "applicant's arrangements with other electric utilities for interchange of power, pooling of plant, purchase of power and other methods for providing reliable, efficient, and economical electric service." N.C. Gen. Stat. § 62-110.1(d). The Commission must "avoid the costly overbuilding of generation resources." Empire Power Co., 112 N.C. App. at 278, 435 S.E.2d at 560 (emphasis added).

There is no evidence in the record of DEP's need for the proposed 560 MW of new natural gas-fired units in the Asheville area. NC WARN and The Climate Times submitted the affidavit of William E. Powers, "a consulting energy and environmental engineer with over 30 years of experience in the fields of power plant operations and environmental engineering." (Ex E, Aff. of Powers ¶ 1). Mr. Powers reviewed the load forecasts of DEP and found that "there is no basis, based on actual [western North Carolina] summer and winter peak loads over the last eight years, to assume any summer or winter peak load growth over the next ten years." Id. ¶ 9(d). Mr. Powers concluded that "the DEP projection that growth will increase and accelerate over the years . . . is unsupported by facts and divorced from the reality of static or declining actual peak loads." Id.

But even assuming DEP has need for additional capacity, Mr. Powers identified numerous means to create the additional capacity without the construction of these expensive natural gas-fired units: "Distributed generation, demand response (DR), energy efficiency (EE), combined heat and power (CHP), purchased power and solar should be relied upon to displace

fossil fuel generation in the Duke Energy Progress Western (DEP-West) North Carolina region over the next 10-15 years." Id. ¶ 14. Indeed, a participant to the Commission docket, Columbia Energy, LLC, asserted that it has an existing natural gas-fired unit that can provide 523 MW of capacity and energy to DEP annually. Id. ¶ 16. The General Statutes expressly state that these alternatives to constructing new power plants are highly relevant. N.C. Gen. Stat. § 62-110.1(d).

The Commission rejected this evidence and instead blindly adopted DEP's load forecasts, and thereby committed error. DEP did not provide the Commission with models to detail how it generated its load forecasts that supposedly justify the need for an additional 560 MW. Instead, DEP merely provided raw data to the Commission and refused to produce its models because the modeling software is supposedly proprietary. (Ex F, p 33). In other words, the Commission accepted the results of DEP's models without actually examining the models themselves. Id.

Hence the Commission had no factual basis for accepting DEP's conclusion that the additional 560 MW are needed and rejecting the conclusions of Mr. Powers. Further, even if DEP could prove that it has a need for the additional 560 MW, the Commission failed to consider viable alternatives to the project that may have been more economical and less harmful to the environment.

B. Natural gas supply is extremely uncertain and therefore DEP's two (2) proposed natural-gas filed units are uneconomical.

The General Statutes state that the policy of North Carolina towards public utilities is "[t]o promote . . . economical utility service to all the citizens and residents of the State." N.C. Gen. Stat. § 62-2(a)(3). Recognizing this policy of economical utility service, this Court has held that "[t]he primary purpose of the [public convenience and necessity] statute is to provide for the orderly expansion of the State's electric generating capacity in order to create the most reliable

and economical power supply possible and to avoid the costly overbuilding of generation resources." State ex rel. Utils. Comm'n v. Empire Power Co., 112 N.C. App. 265, 278, 435 S.E.2d 553, 560 (1993) (emphasis added).

DEP's proposed two (2) natural gas-fired units are anything but economical. NC WARN and The Climate Times filed the Affidavit of J. David Hughes. (Ex E). Mr. Hughes is a geoscientist who has studied U.S. shale gas extensively and published multiple reports on future shale gas production potential. (Ex. E, Aff. of Hughes ¶ 1). According to Mr. Hughes, "50% of U.S. natural gas production is now shale gas." Id. ¶ 3. Mr. Hughes notes that shale gas production is decreasing far quicker than present projections. Id. ¶¶ 4-10.

In order to maintain present shale gas production rates, according to Mr. Hughes it will be necessary to drill many thousands of wells each year. Id. ¶ 11. Thus, "[i]f natural gas production declines, as is currently the case, and drilling rates cannot be maintained due to poor economics, fuel prices could skyrocket, putting ratepayers at risk of shortages and price spikes." Id. ¶ 12. For this reason, "[s]hale gas (and oil) industries are unsustainable in the longer term unless prices rise considerably." Id.

It follows that the CPCN Order permits DEP to construct two cost-ineffective natural gas-fired units. This is grounds to deny DEP's application. See Empire Power Co., 112 N.C. App. at 278, 435 S.E.2d at 560. However, the Commission failed to address this argument in its Order and therefore failed to make essential findings of fact.

C. The two (2) natural gas-fired units have a more harmful greenhouse gas footprint than coal.

The Public Utilities Act declares that the policy of this State is "[t]o encourage and promote harmony between public utilities, their users and the environment." N.C. Gen. Stat.

§ 62-2(a)(5) (emphasis added). Unfortunately, the record evidence in this proceeding shows that DEP's proposed transition to natural-gas units is harmful to the environment.

One of NC WARN and The Climate Times' experts before the Commission was Robert W. Howarth. (Ex E). Dr. Howarth is "an Earth system scientist and ecologist who has been a tenured faculty member at Cornell University . . . for the past 30 years." (Ex E, Aff. of Howarth ¶ 1). Dr. Howarth testified by affidavit that natural gas impacts the environment, specifically global warming, in at least two (2) ways: the emission of CO2 when burned, and in the emission of methane. Id. ¶¶ 3-4. Methane is 86 times more potent than CO2 as a greenhouse gas. Id. ¶ 15. When considering natural gas's emission of both CO2 and methane, "conventional natural gas and shale gas have larger greenhouse gas footprints than coal." Id. ¶ 16. Indeed, "[t]he total greenhouse gas footprint for conventional natural gas is approximately 1.2 times greater than that for coal," and "[f]or shale gas, the greenhouse gas footprint is approximately 2.7 times greater than that for coal." Id.

Despite this grave threat to the environment, the Commission gave the environmental impacts of natural gas only the barest attention: in a four (4) sentence passage, the Commission concluded, without analysis, that "[t]he natural gas-fired units will emit substantially lower levels of greenhouse gases than the older, less efficient coal plants they will replace." (Ex F, p 37). This finding does not address or analyze Dr. Howarth's testimony or make findings of fact as to why Dr. Howarth's testimony was supposedly wrong. Id.

Therefore, on this important issue of the environmental impacts of DEP's application, the Commission failed to make essential findings and accordingly should be reversed.

D. The Mountain Energy Act of 2015 is unconstitutional.

In its Application, DEP was exempt by the Mountain Energy Act of 2015, N.C. Sess. Law 2015-110, from complying with the typical Commission process for certificates of public convenience and necessity. The Act allows for an "expedited decision on an application for a certificate to construct a generating facility that uses natural gas as the primary fuel." Id. § 1. The Act states that DEP must provide thirty (30) days' notice of its intent to file an application; that the Commission may hold only one (1) public hearing on the application; and that the Commission must render its decision on the application within forty-five (45) days of the application. Id.

The construction of these new facilities is a complex process involving over a billion dollars of ratepayer money—thorough deliberation is therefore essential. NC WARN and The Climate Times sought, but the Commission declined to allow, sufficient time to perform this deliberation. On 21 December 2015, NC WARN and The Climate Times filed a Motion for Evidentiary Hearing. (Ex C, p 3). The Motion for Evidentiary Hearing proposed several methods of conducting the litigation to allow for meaningful discovery and fact-finding in light of the expedited process required by the Mountain Energy Act. Id. at 3-6. However, in an Order of 15 January 2016, the Commission denied the Motion for Evidentiary Hearing. (Ex D, p 5). Despite DEP's application not being filed until 15 January 2016, the Commission issued a notice of its decision a mere few weeks later, on 29 February 2016.

This fast-track process violates the North Carolina Constitution. Article I, Section 34 of our State's Constitution provides that "[p]erpetuities and monopolies are contrary to the genius of a free state and shall not be allowed." North Carolina's courts have allowed only narrow exceptions to this bar on monopolies:

> In the public utility businesses competition, deemed unnecessary, is curtailed by the requirement that one desiring to engage in such business procure from the Utilities Commission a certificate of public convenience and necessity. However, in those fields the State has undertaken to protect the public from the customary consequences of monopoly by making the rates and services of the certificate holder subject to regulation and control by the Utilities Commission.

In re Certificate of Need for Aston Park Hosp., 282 N.C. 542, 549-50, 193 S.E.2d 729, 734 (1973) (internal citation omitted).

Thus, the process governing applications for certificates of public convenience and necessity reflect our State's policy that monopolies are allowed only when highly regulated. "[B]ecause a public utility is a legally regulated monopoly, '[m]any of the basic principles of the Free Enterprise System, which govern the operations of and the charges by industrial and commercial corporations and those of the corner grocery store, have no application to the regulation of the service or charges of a utility company.'" State ex rel. Utils. Comm'n v. Edmisten, 294 N.C. 598, 610, 242 S.E.2d 862, 870 (1978) (citing Utils. Comm'n v. Gen. Tel. Co., 281 N.C. 318, 335, 189 S.E.2d 705, 716-17 (1972)). "The reason for strict regulation of public utilities is that they are either monopolies by nature or given the security of monopolistic authority for better service to the public. The public is best served in many circumstances where destructive competition has been removed and the utility is a regulated monopoly." State ex rel. Utils. Comm'n v. Carolina Coach Co., 260 N.C. 43, 51, 132 S.E.2d 249, 254 (1963).

The scrutiny required of monopolies—like DEP—by the North Carolina Constitution and this State's courts are embedded within the statutes controlling the typical process for certificates of public convenience and necessity. Yet the Mountain Energy Act of 2016, by creating a fast-track process, prevented the Commission from exercising the scrutiny required.

II. The Second Bond Order should be reviewed and reversed.

In the Second Bond Order, issued on 8 July 2016, the Commission required that NC WARN and The Climate Times post a $98 million bond or undertaking before challenging the CPCN Order. There was no record evidence supporting this extravagant bond requirement, and furthermore, that bond amount is unconstitutional under the Open Courts Clause of the N.C. Constitution.

In relevant part, the bond statute states:

> Any party or parties opposing, and appealing from, an order of the Commission which awards a certificate under G.S. 62-110.1 shall be obligated to recompense the party to whom the certificate is awarded, if such award is affirmed upon appeal, for the damages, if any, which such party sustains by reason of the delay in beginning the construction of the facility which is occasioned by the appeal, such damages to be measured by the increase in the cost of such generating facility (excluding legal fees, court costs, and other expenses incurred in connection with the appeal). No appeal from any order of the Commission which awards any such certificate may be taken by any party opposing such award unless, within the time limit for filing notice of appeal as provided for in G.S. 62-90, such party shall have filed with the Commission a bond with sureties approved by the Commission, or an undertaking approved by the Commission, in such amount as the Commission determines will be reasonably sufficient to discharge the obligation hereinabove imposed upon such appealing party.

N.C. Gen. Stat. § 62-82(b) (emphasis added).

To summarize, a party losing an appeal challenging a certificate of public convenience and necessity may be obligated to pay "damages, if any, which [the public utility] sustains." Id. However, the damages are explicitly limited to damages related to "delay in beginning the construction of the facility which is occasioned by the appeal," and these damages cannot include "legal fees, court costs, and other expenses incurred in connection with the appeal." Id. Therefore, any bond obligation is limited to damages caused by "delay in beginning the construction of the facility."

Undersigned counsel is aware of no cases interpreting the bond statute, N.C. Gen. Stat. § 62-82(b), at issue presently. However, this Court has reversed bond requirements in other contexts where the bond was not supported by evidence. For example, in Currituck Assocs. Res. P'ship v. Hollowell, 170 N.C. App. 399, 612 S.E.2d 386 (2005), the appellant asked for a stay pending appeal and accordingly requested a bond amount. In response, the appellee in Hollowell filed an affidavit stating that, if the stay is granted, it will be damaged by $1,369,040 per year. Id. 401, 612 S.E.2d at 388. The trial court ordered a $1 million bond and the appellant appealed. Id. This Court held that, "While the amount of the bond lies within the discretion of the trial court, we must determine whether the record contains evidence to support the trial court's decision." Id. at 402, 612 S.E.2d at 388. Because the appellee's affidavit in Hollowell did not provide sufficient evidence to support a $1 million bond, this Court reversed the trial court and remanded for further bond proceedings. Id. at 404, 612 S.E.2d at 389.

Just as in Hollowell, there is no record evidence supporting the $98 million bond required by the Commission. The Second Bond Order relied upon the following supposed delay-related damages: "The amount of $98 million represents $40 million in potential damages related to the cancellation costs of three major equipment contracts, $8 million in potential damages related to sunk development costs, and $50 million in increased project costs for the increased cost of labor and materials." (Ex T, p 9). Yet each of these damages estimates is deficient and unsupported by the record.

Consider first the estimate of $40 million in potential damages related to the cancellation of costs of three major equipment contacts. Neither the Commission nor DEP considers whether these contracts can be extended. Further, DEP signed these contracts on 31 May 2016, after NC WARN and The Climate Times filed a Notice of Appeal and Exceptions with the Commission

challenging the CPCN Order. (Ex S, ¶ 5). Thus, when DEP signed these contracts, it was fully aware of NC WARN and The Climate Times' challenge to the CPCN Order. To now claim that an appeal would result in breaches of these contracts is a self-created problem by DEP. DEP should not be permitted to sign contracts as a means of generating hypothetical damages that have the effect of establishing a prohibitive bond amount and thereby preventing appeals.

As to the $8 million estimate for sunk development costs, DEP is exercising mere speculation. DEP's witness testified: "My estimate would be is that if we were to delay the project for two years, we would have to rework a significant amount of this development effort . . . ." (Ex R, p 46). DEP did not testify, however, that all of these development costs would be sunk, or that development work to date could not be reused.

Also unsupported is the $50 million estimate for increased project costs for the increased cost of labor and materials. DEP arrived at this number by assuming a 2.5 percent annual cost escalation over a 2-year appellate delay. (Ex R, p 48-49). However, NC WARN and The Climate Times submitted an Affidavit from William E. Powers, a consulting and environmental engineer with over 30 years of experience in power plant operations and environmental engineering. (Ex S, ¶ 1). Mr. Powers testified that "industrial construction costs are lower in 2016 than they were in 2014," and "[t]he current trend in plant construction costs . . . is negative." Id. ¶ 7. Thus, "[a] 24-month delay may in fact save DEP substantial money." Id. No evidence in the record contradicts Mr. Powers's testimony, yet the Commission accepted DEP's $50 million estimate without question.

But perhaps most importantly, requiring a $98 million bond is completely prohibitive of appeals and is therefore unconstitutional. The Open Courts Clause of the N.C. Constitution, Article I, Section 35, states that "[a]ll courts shall be open; every person for an injury done him

in his lands, goods, person, or reputation shall have remedy by due course of law; and right and justice shall be administered without favor, denial, or delay." Obviously no public interest group, including NC WARN and The Climate Times, could post a $98 million bond. Hence the Second Bond Order deprives Petitioners of the right to access this State's appellate courts.

Undersigned counsel is aware of no case in this State addressing whether monetary fees (other than standard filing fees) violate the Open Courts Clause. However, substantial case law throughout the nation provides that substantial monetary fees violation open courts laws in numerous states. E.g., Fent v. State ex rel. Dept. of Human Servs., 236 P.3d 61 (OK 2010); G.B.B. Invs. Inc. v. Hinterkopf, 343 So. 2d 899 (Fla. Ct. App. 1977); Psychiatric Assocs. v. Siegel, 610 So. 2d 419 (Fla. 1992); In re Estate of Dionne, 518 A.2d 178 (N.H. 1986); R. Commc'ns Inc. v. Sharp, 875 S.W.2d 314 (Tex. 1994); Jensen v. State Tax Comm'n, 835 P.2d 965 (Utah 1992).

Therefore, the $98 million bond is unsupported by record evidence or essential findings of fact, and furthermore, violates the Open Courts Clause of the State Constitution.

III. The Dismissal Order should be reviewed and reversed.

On 2 August 2016, the Commission dismissed the Petitioners' 27 May 2016 Notice of Appeal and Exceptions challenging the CPCN Order. (Ex X). The entire basis for the Dismissal Order was that NC WARN and The Climate Times did not post a $98 million bond or undertaking. Id. at 5-6. However, as discussed above, the Second Bond Order that required the $98 million bond is unsupported by record evidence and unconstitutional. Thus, the Second Bond Order should not be the basis for dismissing any appeal.

The more appropriate route, as recommended to the Commission by Petitioners, is to reserve judgment on the motions to dismiss until the appellate process on the Second Bond Order concludes. (Ex V, p 9).

ATTACHMENTS

Attached to this Petition for consideration by the Court are certified copies of the following papers that are essential to this Court's review:

- **A.** Notice of Intent to File Application for Certificate of Public Convenience and Necessity [16 December 2015]
- **B.** Order Scheduling Public Hearing and Requesting Investigation and Report by the Public Staff [18 December 2015]
- **C.** Motion for Evidentiary Hearing by NC WARN and The Climate Times [21 December 2015]
- **D.** Order Denying NC WARN and The Climate Times' Motion for an Evidentiary Hearing [15 January 2016]
- **E.** Position and Comments by NC WARN and The Climate Times [12 February 2016]
- **F.** Order Granting Application in Part, With Conditions, and Denying Application in Part ("CPCN Order") [28 March 2016]
- **G.** Motion to Set Bond [25 April 2016]
- **H.** DEP's Response to Motion to Set Bond [2 May 2016]
- **I.** NC WARN and The Climate Times' Reply to DEP's Response to Motion to Set Bond [5 May 2016]
- **J.** Order Setting Undertaking or Bond Pursuant to G.S. 62-82(b) ("First Bond Order") [10 May 2016]

- **K.** NC WARN and The Climate Times' Petition for Writ of Certiorari and Petition for Writ of Supersedeas [23 May 2016]
- **L.** Notice of Appeal and Exceptions [27 May 2016]
- **M.** DEP's Motion to Dismiss the Notice of Appeal and Exceptions of NC WARN and The Climate Times [31 May 2016]
- **N.** NC WARN and The Climate Times' Response to Motion to Dismiss Appeal [3 June 2016]
- **O.** The Court of Appeals' Order on the Petition for Writ of Certiorari and Petition for Writ of Supersedeas [7 June 2016]
- **P.** Order Setting Hearing [8 June 2016]
- **Q.** Response to Order Setting Hearing by NC WARN and The Climate Times [14 June 2016]
- **R.** Transcript of Bond Hearing of 17 June 2016
- **S.** NC WARN and The Climate Times' Affidavit of William Powers [27 June 2016]
- **T.** Order Setting Undertaking or Bond Pursuant to G.S. 62-82(b) of 8 June 2016 ("Second Bond Order") [8 July 2016]
- **U.** DEP's Renewed Motion to Dismiss Appeal [20 July 2016]
- **V.** NC WARN and The Climate Times' Reply to DEP's Renewed Motion to Dismiss [26 July 2016]
- **W.** Notice of Appeal of Second Bond Order [28 July 2016]
- **X.** Order Dismissing Appeal for Failure to Comply with Bond Prerequisite [2 August 2016]
- **Y.** Notice of Appeal [17 August 2016]

ISSUES TO BE BRIEFED

If this Court issues a Writ of Certiorari, Petitioners would present the following questions:

- **I.** Was the Commission's Second Bond Order supported by competent record evidence and sufficient findings of fact?
- **II.** Was the Commission's Second Bond Order arbitrary and capricious?
- **III.** Does the Second Bond Orders violate the North Carolina Constitution?
- **IV.** Is the Second Bond Order affected by errors of law?
- **V.** Was the Commission's CPCN Order supported by competent record evidence and sufficient findings of fact?
- **VI.** Was the Commission's CPCN Order arbitrary and capricious?
- **VII.** Is the CPCN Order affected by errors of law?
- **VIII.** Is the Mountain Energy Act of 2016 unconstitutional?
- **IX.** Was the Commission's Dismissal Order supported by competent record evidence and sufficient findings of fact?
- **X.** Was the Commission's Dismissal Order arbitrary and capricious?
- **XI.** Is the Dismissal Order affected by errors of law?

CONCLUSION

WHEREFORE, Petitioners NC WARN and The Climate Times respectfully request that this Court issue its Writ of Certiorari to review the North Carolina Utilities Commission's CPCN Order, Second Bond Order, and Dismissal Order; and for such other relief as this Court deems just and proper.

Respectfully submitted, this the _____ day of August, 2016.

/s/ *Matthew D. Quinn*
Matthew D. Quinn
N.C. State Bar No.: 40004
Law Offices of F. Bryan Brice, Jr.
127 W. Hargett Street, Suite 600
Raleigh, NC 27601
(919) 754-1600 – telephone
(919) 573-4252 – facsimile
matt@attybryanbrice.com

John D. Runkle
N.C. State Bar No.: 10503
2121 Damascus Church Road
Chapel Hill, NC 27516
(919) 942-0600 – telephone
jrunkle@pricecreek.com

Counsel for NC WARN & The Climate Times

VERIFICATION

NORTH CAROLINA, WAKE COUNTY. I, Matthew D. Quinn, being duly sworn, depose and say that I have read the foregoing Petition for Writ of Certiorari, know the contents thereof, and that the same are true of my own knowledge, except as to the matters therein stated upon information and belief, and as to those, I believe them true. Sworn to and subscribed before me this the _____ day of _____, 2016. NOTARY PUBLIC. MY COMMISSION EXPIRES: _____.

/s/ *Matthew D. Quinn*
Matthew D. Quinn
N.C. State Bar No.: 40004
Law Offices of F. Bryan Brice, Jr.
127 W. Hargett Street, Suite 600
Raleigh, NC 27601
(919) 754-1600 – telephone
(919) 573-4252 – facsimile
matt@attybryanbrice.com

CERTIFICATE OF SERVICE

The undersigned attorney hereby certifies that a copy of the foregoing PETITION FOR WRIT OF CERTIORARI was served on the following parties to this action, pursuant to Appellate Rule 26, by depositing the same enclosed in a postpaid, properly addressed wrapper in a Post Office or official depository under the exclusive care and custody of the United States Post Office Department to:

Gail L. Mount
Chief Clerk
North Carolina Utilities Commission
4325 Mail Service Center
Raleigh, NC 27699-4300
mount@ncuc.net

Lawrence B. Somers
Deputy General Counsel
Duke Energy Corporation
PO Box 1551/NCRH 20
Raleigh, NC 27602-1551
bo.summers@duke-energy.com

Sam Watson
General Counsel
North Carolina Utilities Commission
4325 Mail Service Center
Raleigh, NC 27699-4300
swatson@ncuc.net

Dwight Allen
Allen Law Offices, PLLC
Suite 200
1514 Glenwood Avenue
Raleigh, NC 27608
dallen@theallenlawoffices.com

Antoinette R. Wike
Chief Counsel
Public Staff
4326 Mail Service Center
Raleigh, NC 27699-4300
Antoinette.Wike@psncuc.nc.gov

Scott Carver
Columbia Energy, LLC
One Town Center, 21st Floor
East Brunswick, NJ 08816
scarver@lspower.com

Gurdin Thompson
Austin D. Gerken, Jr.
Southern Environmental Law Center
Suite 220
601 West Rosemary Street
Chapel Hill, NC 27516-2356
gthompson@selcnc.org
djgerken@selcnc.org

Sharon Miller
Carolina Utility Customer Association
Suite 201 Trawick Professional Ctr
1708 Trawick Road
Raleigh, NC 27604
smiller@cucainc.org

Peter H. Ledford
Michael D. Youth
NC Sustainable Energy Association
4800 Six Forks Road
Suite 300
Raleigh, NC 27609
peter@energync.org
Michael@energync.com

Robert Page
Crisp, Page & Currin, LLP
Carolina Utility Customer Association
Suite 205
4010 Barrett Drive
Raleigh, NC 27609-6622
rpage@cpclaw.com

Ralph McDonald
Adam Olls
Bailey and Dixon, LLP
Carolina Industrial Group for Fair Utility Rates II
P.O. Box 1351
Raleigh, NC 27602-1351
mcdonald@bdixon.com

Grant Millin
48 Riceville Road, B314
Asheville, NC 28805
grantmillin@gmail.com

Richard Fireman
374 Laughing River Road
Mars Hill, NC 28754
firepeople@main.nc.us

Brad Rouse
3 Stegall Lane
Asheville, NC 28805
brouse_invest@yahoo.com

Daniel Higgins
Burns Day & Presnell, P.A.
Columbia Energy, LLC
P.O. Box 10867
Raleigh, NC 27605
dhiggins@bdppa.com

This the _____ day of August, 2016.

/s/ *Matthew D. Quinn*
Matthew D. Quinn
N.C. State Bar No.: 40004
Law Offices of F. Bryan Brice, Jr.
127 W. Hargett Street, Suite 600
Raleigh, NC 27601
(919) 754-1600 – telephone
(919) 573-4252 – facsimile
matt@attybryanbrice.com